

Macroeconomic Report: Sailing Through The Storm

The COVID-19 pandemic is expected to negatively affect economic growth as economic activity declines. According to the IMF, global economic growth is expected to stand at -4.9% in 2020.

Global equities recover in 2Q20: Risk aversion dominated global equities in March thus market indices closed 1Q20 in the red. A recovery was recorded in 2Q20 as governments eased lockdown restrictions and liquidity increased as a result of the unprecedented fiscal and monetary stimulus.

USD gains against major currencies: In 2020, most African currencies have depreciated against the USD with commodity reliant economies being the worst affected. On a YTD basis, the KES has lost 5.4% against the USD but in 2H20, it may par some of its losses as export earnings increase and imports remain subdued.

Agriculture to support economic growth: In 2020, we expect the Kenyan economy to grow at 2.1% mainly on account of reduced activity in key sectors. This is higher than the -3.2% growth that the IMF projects will be recorded in Sub-Saharan Africa. The Kenyan economy is likely to be supported by increased activity in the Agricultural sector (34% of GDP) as the country received sufficient rainfall in the first half of the year.

Subdued inflationary pressures: In 2020, headline inflation is expected to average 5.7% supported by subdued food, fuel, and core inflation.

Accommodative monetary policy: CBK's previous rate cuts have spurred an increase in private sector credit growth. In 3Q20, we expect the Bank to leave the rate unchanged as it waits for the effects of the previous rate cuts to be felt in the economy.

How Low can Short-term Interest Rates Fall? Looking at historical T-bill rates, over the past 20 years, the 91 day T-bill fell below 5% in 2003 and 2010 touching a low of 0.8% in September 2003. In 2020, factors that could push rates lower are: high demand for government paper and high money market liquidity.

July 24, 2020

Sovereign Credit Rating:

Moody's: B1 (stable)
Fitch: B+ (stable)
S&P: B+ (stable)

CPI: (2019=100): 108.27

June Inflation: 4.59%

C.B.R (25th June 20): 7.00%

91- Day T-Bill (Latest): 6.11%

182- Day T-Bill (Latest): 6.44%

364- Day T-Bill (Latest): 7.37%

Analyst
Sarah Wanga
+0725965555
wangas@aibcapital.com

COVID-19

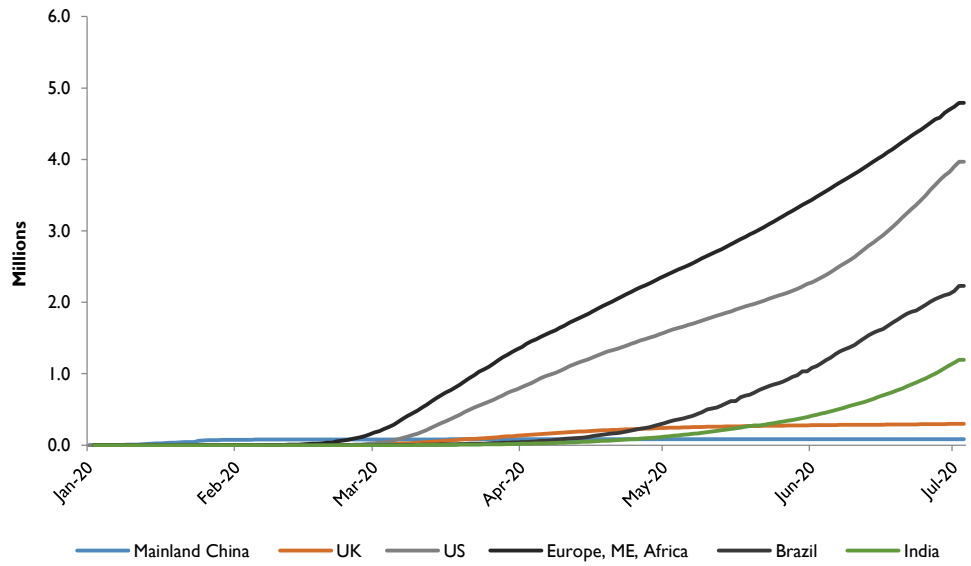
Despite governments' efforts to contain the Covid-19 pandemic, the virus continues to spread across the globe, sending billions of people into lockdown as health services struggle to cope.

Over 15 million people have tested positive for the virus with US, Brazil and India recording the highest number of cases. These may be attributed to the large populations in these countries.

The measures adopted by governments to deal with the virus are different as night and day. Some, like the Indian government, have enforced a nationwide lockdown that began on 22nd March 2020 yet the infections are increasing at an exponential rate. China was able to contain the virus due to its ability to enforce a nationwide lockdown.

On the opposite end of the spectrum is the Netherlands where there is no hard lockdown, hardly any visible surveillance, very limited testing and borders remain open, yet less than 1% of their population is infected (though this may also be a factor of the limited testing). Meanwhile, the US and Brazilian governments have been reluctant to enforce nationwide isolation measures.

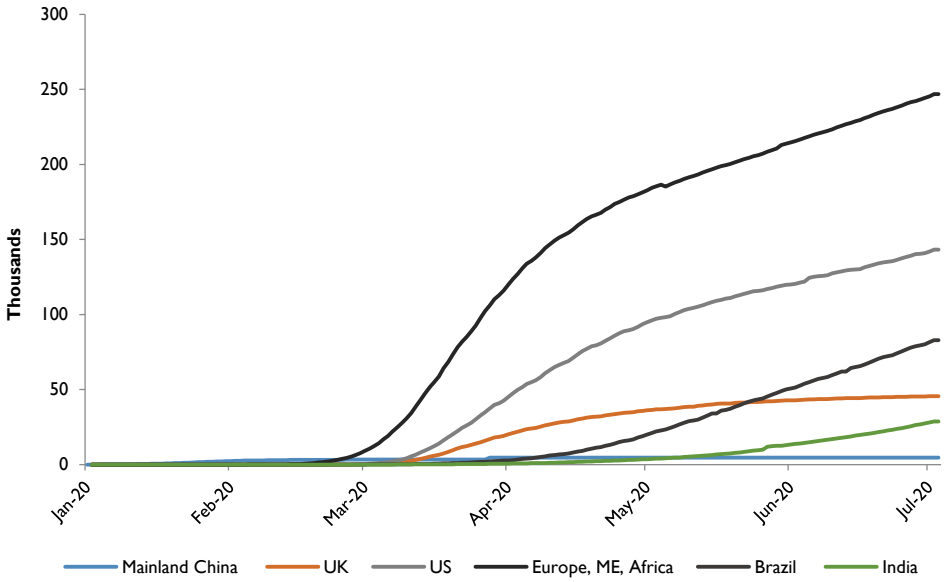
Graph 1: COVID-19 Cases



Source: Bloomberg

Over 600 thousand people have died of the virus with the highest number of deaths reported in US, Brazil, and the UK. Italy which was one of the world's worst hotspots has the most deaths above normal while Spain has the highest percentage of deaths above normal.

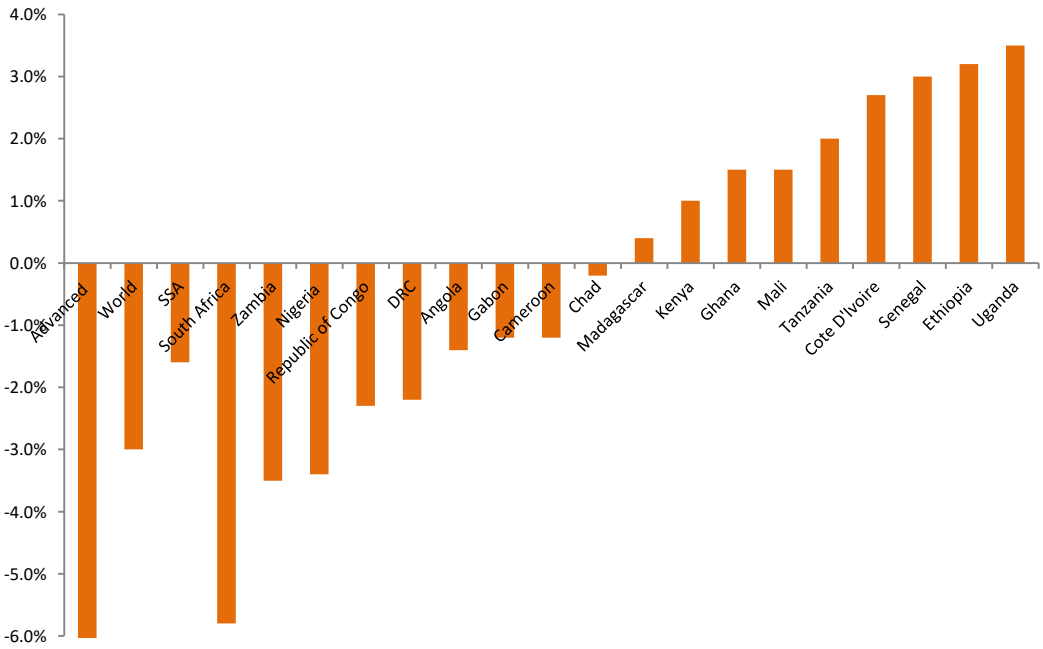
Graph 2: COVID-19 Deaths



Source: Bloomberg

Economic activity declines: The pandemic is expected to negatively affect economic growth as economic activity declines. The IMF has revised its 2020 global growth forecast to -4.9% from its previous estimates of -3.0% and -3.3% in in April and January respectively.

Graph 3: Economic Growth Forecasts



Source: IMF

Countries have announced a number of measures that seek to stimulate their economies. These include: providing support to small businesses, lowering taxes, reducing policy rates, fiscal stimulus packages, purchase of Treasury and agency securities, among others.

Equity markets recover in 2Q20: When the number of cases across the globe started to accelerate in March, investors' initially reacted by reducing their equity holdings. Major market indices closed 1Q20 in the red. Markets recovered in 2Q20 as economic activity picked up and investors' risk aversion decreased.

Table 1: Global Equity Markets Performance

	Index Jun-30	2Q20	1Q20	1H20	2019
AMERICAS					
US - DJIA	25,512.43	17.7%	-23.7%	-10.2%	21.3%
US - NASDAQ Composite	9,875.29	27.6%	-13.2%	10.7%	32.3%
US - S&P 500	3,050.20	19.2%	-20.4%	-5.1%	27.0%
Canada - S&P / TSX Composite	15,342.60	17.3%	-23.3%	-10.0%	19.1%
Brazil - Bovespa	95,728.00	28.3%	-36.0%	-17.9%	36.3%
ASIA PACIFIC					
Japan - Nikkei 225	22,335.10	16.4%	-19.3%	-6.0%	19.1%
China - SSE Composite	2,965.10	7.0%	-8.7%	-2.3%	22.3%
India – BSE Sensex	35,168.30	20.0%	-29.6%	-15.5%	14.8%
South Korea - KOSPI	2,124.38	22.1%	-21.0%	-3.6%	8.1%
Australia – All Ordinaries	5,915.60	13.9%	-25.0%	-14.5%	21.1%
EUROPE					
Euro area – FTSE Euro 100	976.54	19.6%	-28.7%	-14.7%	25.5%
UK – FTSE 100	6,169.70	8.8%	-24.8%	-18.2%	12.1%
France - CAC 40	4,935.99	12.3%	-26.5%	-17.4%	26.4%
Germany - DAX	12,310.93	23.9%	-25.0%	-7.1%	25.5%
Switzerland - SMI	10,045.30	7.9%	-12.3%	-5.4%	26.0%
AFRICA					
EGYPT CASE 30 INDEX	10,764.59	12.2%	-31.3%	-22.9%	7.1%
Ghana - NSE GSE ALSI INDEX	1,821.00	5.9%	-8.4%	-3.0%	1.5%
Kenya - NSE All Share Index	1,942.12	-1.2%	-25.9%	-26.8%	-6.3%
MOROCCAN ALSI INDEX	10,169.19	4.8%	-20.2%	-16.3%	9.3%
NIGERIA SE INDEX	20,241.00	-6.7%	-1.4%	-7.9%	-12.7%
JSE ALLSHR INDEX	54,362.36	25.2%	-23.9%	-4.8%	8.2%
Zimbabwe - ZSE ALSI INDEX	1,788.75	287.4%	98.9%	670.4%	59.9%
GLOBAL					
MSCI World Index	2,226.40	25.3%	-24.8%	-5.8%	25.6%

Source: Yahoo Finance

Global equities have continued to rally buoyed by the increased liquidity as a result of the unprecedented fiscal and monetary stimulus, economies reopening, and optimism over the discovery of a vaccine increased the attractiveness of the equity market.

Although a number of markets have nearly erased their coronavirus-induced losses, several factors that accelerated their downfall remain. These include: reduced company earnings as a result of lower economic growth, disruption of supply chains, and the continued spread of the corona virus. This raises question on whether the rally can be sustained.

The Kenyan equity market has been negatively affected by foreign investor outflows. As at the end of 1H20, the Kenyan equity market was down 26.8%. This is mainly attributed to an outflow of foreign investor funds. The increase in foreign investors outflows is mainly attributed to: increased risk aversion, profit taking on certain counters, concerns over the lockdown, depreciation of the KES.

In 1H20, KCB recorded the highest net foreign investor outflows.

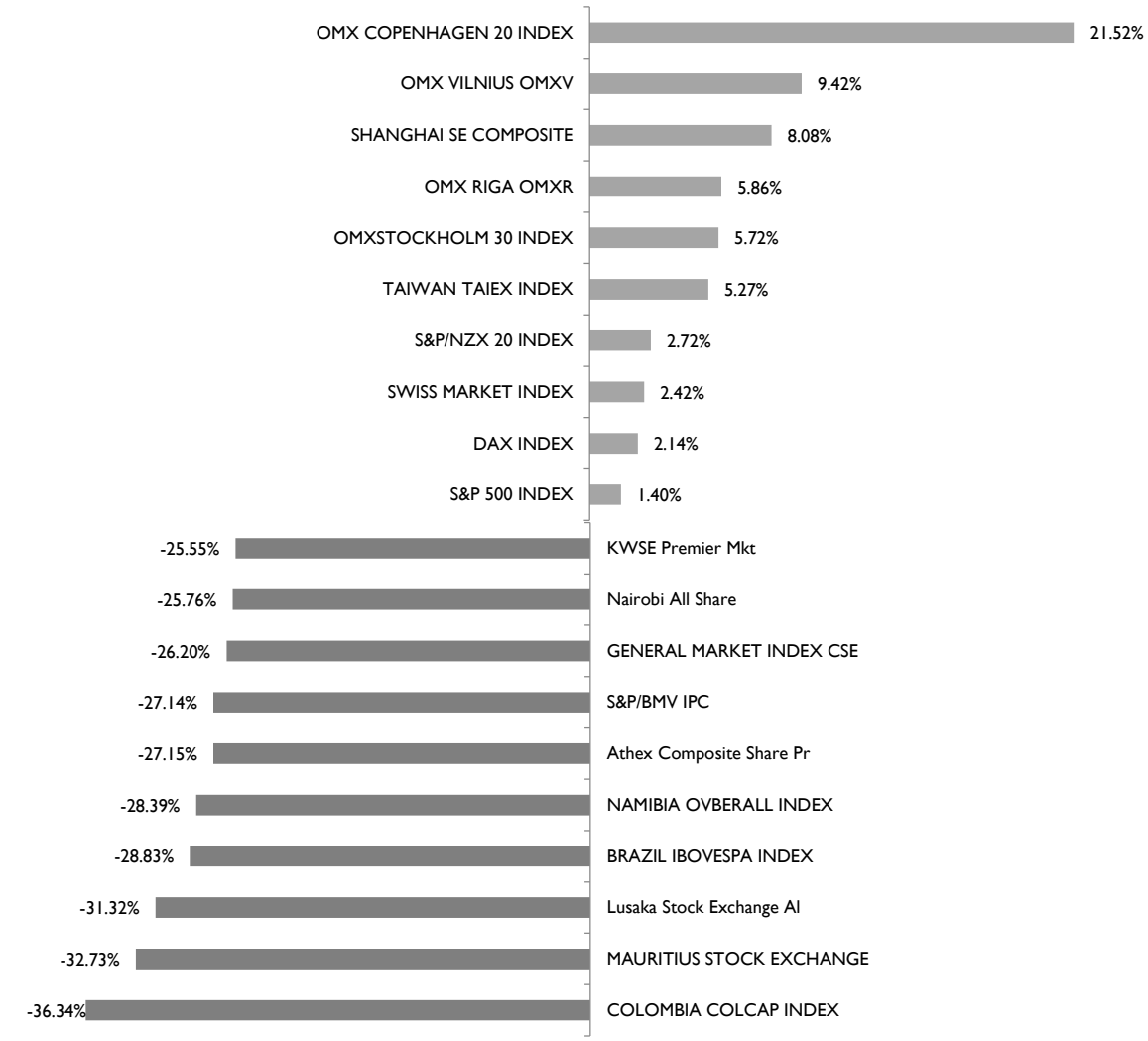
Table 2: 1H20 Foreign investor portfolio flows

	KES (Mn)
KCB bank	-7,028
Equity Bank	-5,773
Safaricom	-5,384
EABL	-776
Stanbic	-591

Source: Bloomberg

In dollar terms, the NSE is one of the top ten worst performing indices.

Graph 4: Best and Worst Performing Equity Indices (YTD)



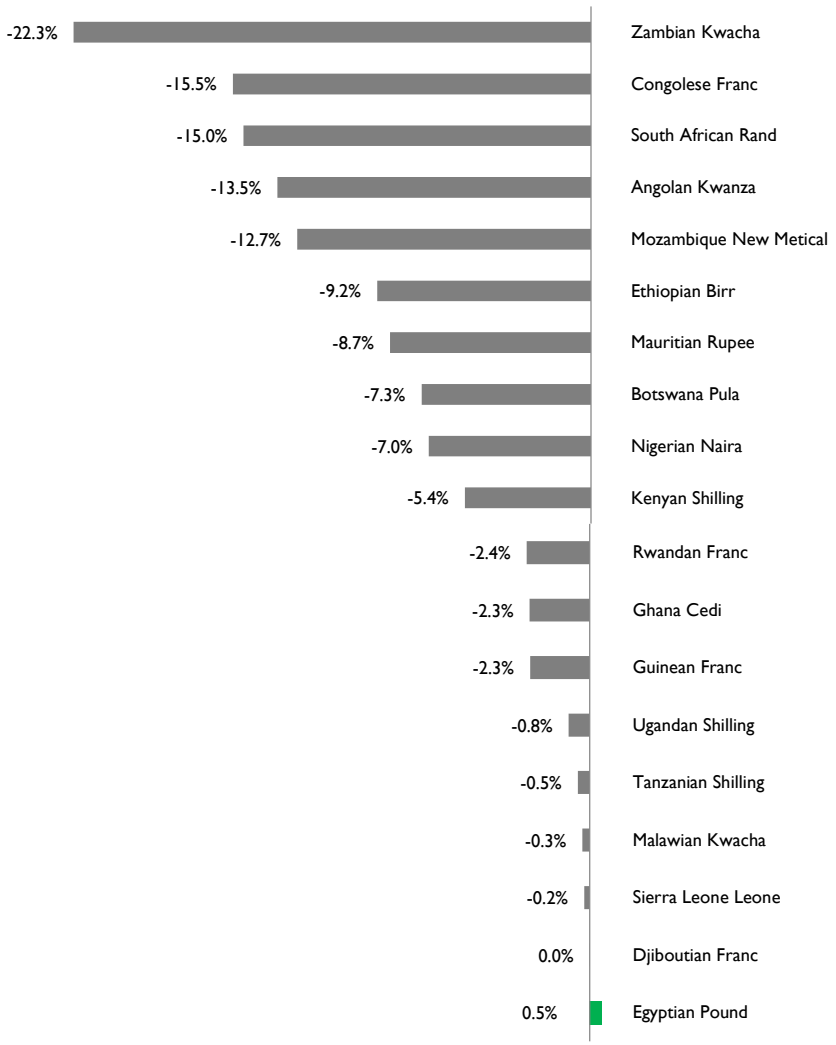
Source: Bloomberg

African currencies depreciate against the US dollar: In 2020, African currencies have depreciated against the USD mainly due to foreign portfolio outflows, disruption of trade, increased dollar demand, and lower commodity prices.

In the current environment, economies that rely on commodities have been greatly affected.

Inflow of funds from the IMF and World Bank have helped Central Banks shore up their currency reserves.

Graph 5: African Currency Performance



Source: Bloomberg

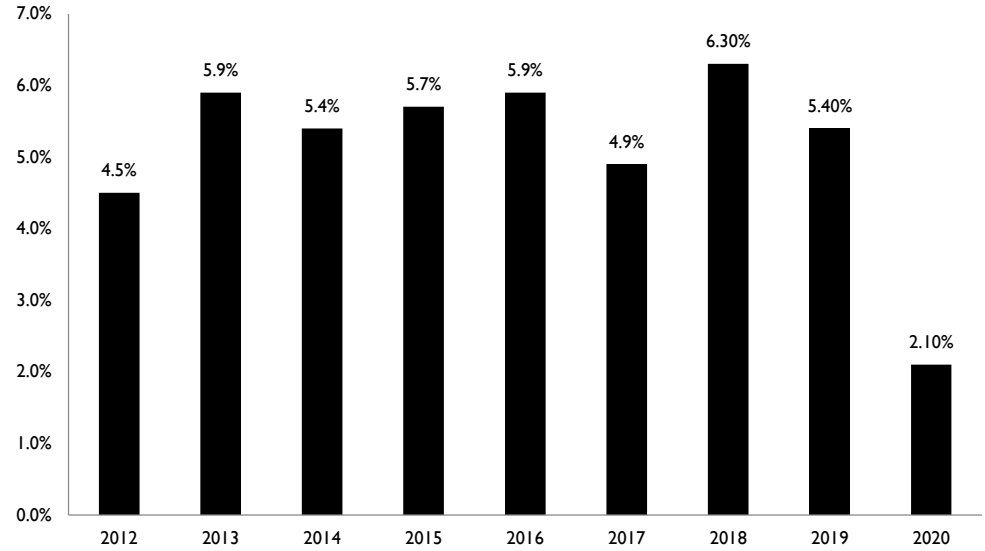
In 2H20, the KES may par some of its losses against the USD as export earnings increase and imports remain subdued (as a result of a combination of inefficiencies at the port and lower consumer demand). CBK is likely to continue to support the shilling as forex reserves remain sufficient at USD 9,699 million (5.87 months of import cover).

Kenya Economic Growth

The Kenyan economy grew 5.4% in 2019 compared to an earlier growth of 6.3% in 2018 on the back of a slowdown in the agricultural and manufacturing sectors. Growth was, however, buoyed by the improvement in the service sectors.

In 2020, economic conditions in the country are expected to deteriorate due to disruptions in trade and supply chains and the collapse of global travel as countries try to contain the COVID-19 pandemic.

Graph 6: GDP Growth



Source: AIB-AXYS Research. KNBS

In 2020, we expect growth to come in at 2.1% mainly on account of reduced activity in key sectors. This is higher than the -3.2% growth that the IMF projects will be recorded in Sub-Saharan Africa. Agriculture, which currently constitutes 34% of the country's GDP, is likely to be Kenya's saving grace.

The Agricultural sector is expected to record the highest growth rates during the year as production is likely to be supported by the sufficient rainfall received during the long rains season. The risk of a locust invasion has subsided as the swarms have moved away from Kenya's food basket regions to the northern part of the country. The Manufacturing sector, which is mainly driven by agro-processing may also record an increase in growth.

Table 3: 2020 GDP Growth Estimates

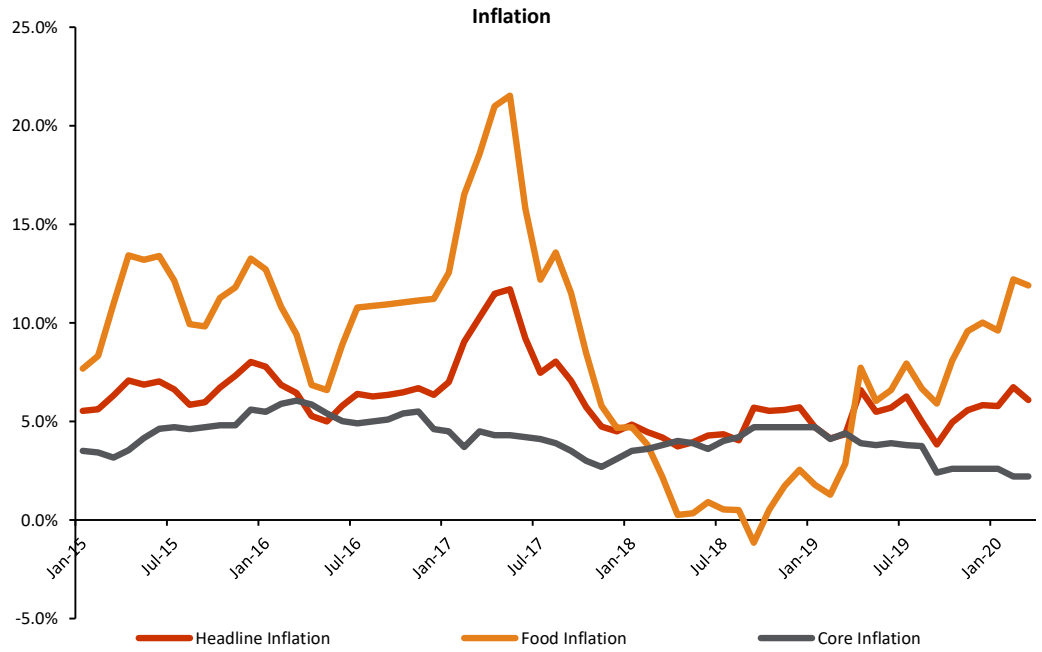
	GDP Growth
Best case	2.60%
Base case	2.10%
Worst case	1.00%

Source: AIB-AXYS Research

Inflation

In 2019, headline inflation remained subdued averaging 5.6%, marginally higher than the 5.0% recorded in 2018. Inflation was mainly driven by higher food prices as food inflation closed 2019 at 10.02%. Meanwhile, core inflation remained depressed touching a low of 2.4% in September.

Graph 7: Inflation



Source: AIB-AXYS Research. KNBS

In 2020, headline inflation is expected to average 5.9% supported by subdued food, fuel, and core inflation. In 1H20, headline inflation averaged 5.62% versus an average of 5.2% in 1H19.

Food prices are expected to remain subdued as production is likely to be supported by favorable rainfall received during the long rains season. The locust invasion remains a key risk as prices could rise if the locusts aren't dealt with and they invade Kenya's bread basket. At present, the possibility of locust invading the food basket has reduced.

Meanwhile, global fuel prices should remain depressed in 2020 as the market remains oversupplied. This should keep local pump prices subdued.

Since April last year, core inflation has remained below 4% reflecting the subdued demand in the economy. This is expected to continue into 2020 as consumer purchasing power reduces.

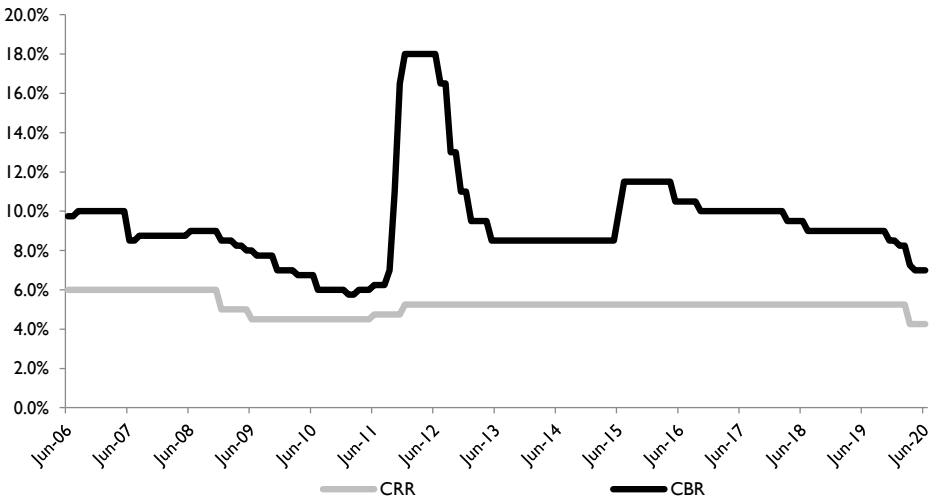
Although the depreciation of the shilling is likely to lead to an increase in the price of imported goods, it's impact on inflation is likely to be minimal as demand for these products has decreased.

Monetary Policy

CBK's monetary policy committee's key mandate is to maintain price stability and support economic growth. Given that inflation is expected to remain below CBK's upper target of 7.5%, the MPC is expected to maintain an accommodative monetary policy stance as it seeks to support growth.

The Central Bank has cut the Central Bank Rate (CBR) three times this year (January, March, and April). On 29th April, CBK's Monetary Policy Committee (MPC) cut the Central Bank Rate by 25 basis points to 7.00% from 7.25% to further cushion Kenyans against the unprecedented fallout caused by the coronavirus outbreak.

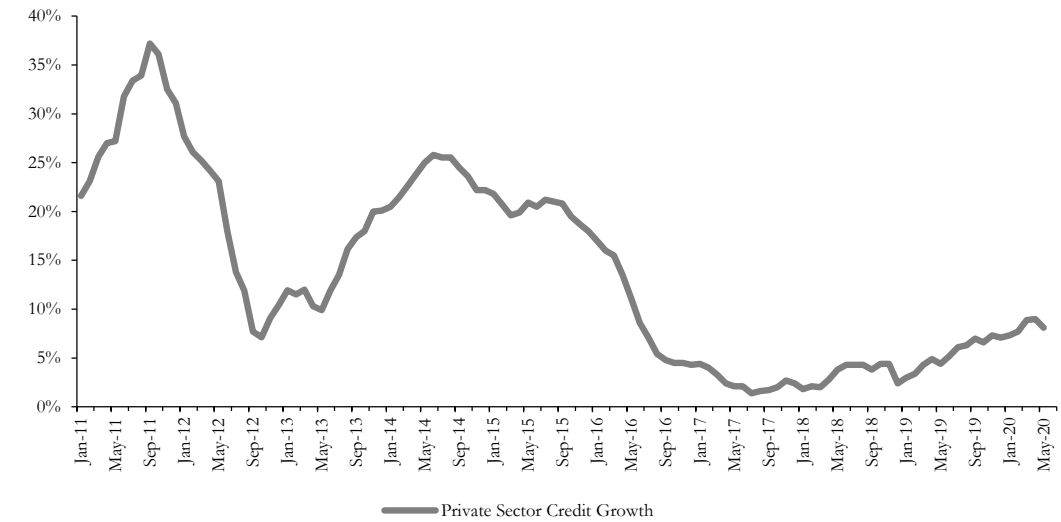
Graph 8: Policy Rates



Source: AIB-AXYS Research. KNBS

CBK's recent actions have spurred an increase in private sector credit growth. In May 2020, private sector credit growth stood at 8.1% versus a growth of 4.4% in May 2019. In 3Q20, we expect the Bank to leave the rate unchanged as it waits for the effects of the previous rate cuts to be felt in the economy.

Graph 9: Credit Growth



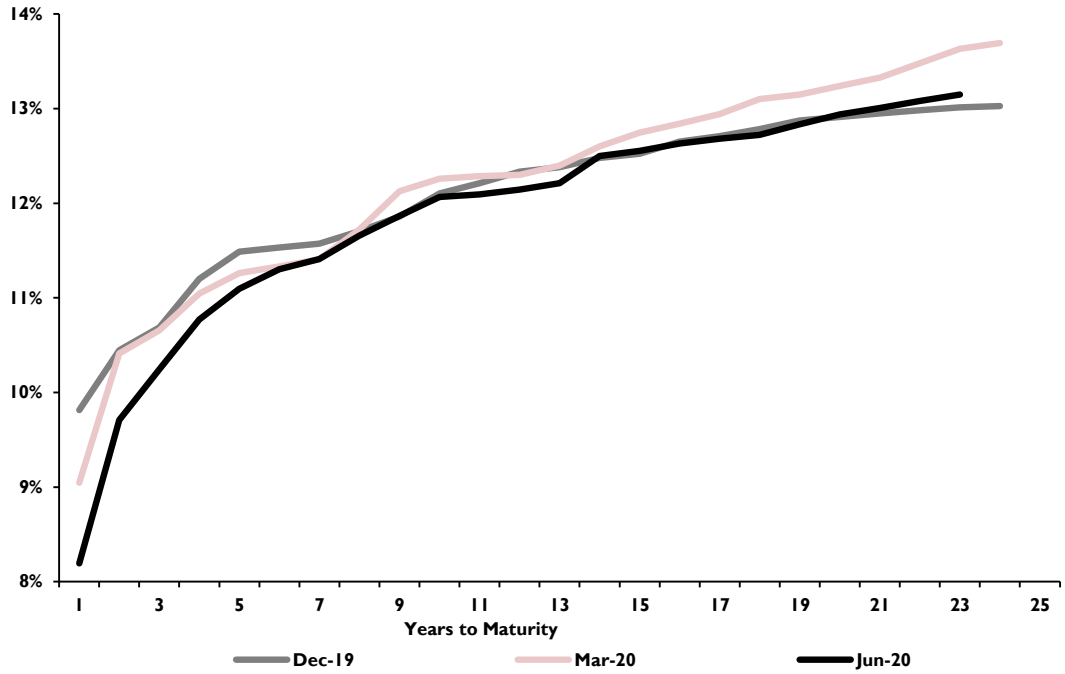
Source: CBK

Yield Curve

The current environment has increased uncertainty and raised investors' risk aversion. This has elevated the demand for government paper. Furthermore, money market liquidity is currently elevated as CBK's March decision to reduce the CRR (Cash Reserve Ratio) to 4.25% from 5.25%, released funds into the market.

High demand for government paper has enabled the Central Bank to reject aggressive bids thus pushing rates lower. This resulted in a downward shift on the yield curve.

Graph 10: Yield Curve



Source: AIB-AXYS Research. CBK

We expect the yield curve to steepen in the first half of FY2020/21 as short term rates decrease while the long term rates remain relatively unchanged.

Demand for government paper is likely to remain elevated as money market liquidity remains high and commercial bank's remain risk averse.

Given that commercial banks are the largest participants in government bond auctions, the overall demand for government paper is likely to be on the short to medium end of the yield curve. Consequently, these rates are likely to decrease more than the long end of the yield curve.

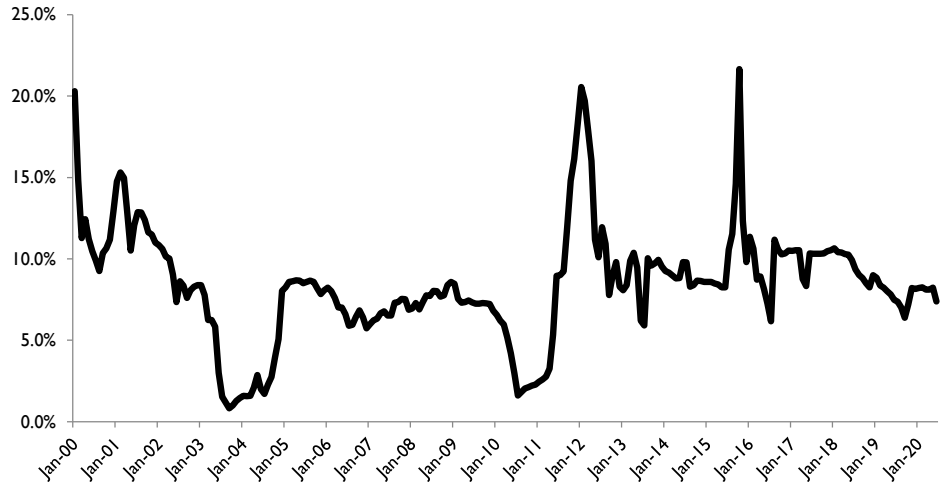
Meanwhile, the government has been trying to increase the average maturity of its debt. We therefore expect them to continue to issue more long term bonds. As demand for long term bonds is lower, the downward shift in yields on the long end of the yield curve is likely to be smaller.

How Low can Short-term Interest Rates Fall?

In the past few months interest rates have declined as demand for short-term government paper remains high.

Looking at historical T-bill rates, over the past 20 years, the 91 day T-bill fell below 5% in 2003 and 2010.

Graph 11: 91 Day T-bill



Source: AIB-AXYS Research. CBK

In 2003, the 91 day T-bill touched a low of 0.8% in September 2003. During this period demand for government paper was low as commercial banks were mostly lending to the private sector.

In 2010, there was an increase in foreign investor flows into the debt market. This high demand enabled CBK to push rates lower. Liquidity in the money market was also high as the Central Bank had cut the CRR from 6% to 5.0% in December 2008 and cut it further to 4.5% in June 2009.

In 2020, factors that could push rates lower are:

- High demand for government paper
- High money market liquidity: In March, CBK lowered the CRR to 4.25% from 5.25%. This has increased money market liquidity

Fixed Income Strategy

As yields decline, the value of investors' bond portfolio is likely to increase. Investors should consider increasing their holdings of short to medium term bonds. Investors who invest in long term bonds are likely to find it difficult to offload them in the near future.

CONTACTS:

Research Desk
Sarah Wanga
wangas@aibcapital.com
(+254) 711047105

Linda Kiraithe
lkiraithe@apexafrica.com

Equities Dealing
Bernard Kung'u
kungub@aibcapital.com
(+254) 711047108

Benard Gichuru
gichurub@aibcapital.com
(+254) 711047111

Brian Tanui
tanuib@aibcapital.com
(+254) 711047124

Samuel Githinji
sgithinji@apexafrica.com
(+254) 719687633

Bond Dealing
Crispus Otieno
otienoc@aibcapital.com
(+254) 711047113

Titus Marenye
marenyet@aibcapital.com
(+254) 711047118

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- **BUY:** Issued on counters with strong fundamentals whose upside lies between 10.0% and 20.0%. The same may be issued for counters with challenged fundamentals whose upside is over 20.0%. Such a scenario is targeted for risk neutral investors.
- **HOLD:** Issued on counters with an upside of between 1% and 5.0% with limited avenues for growth. Contracting bottom-line with an attractive dividend yield of about 5.0%.
- **SELL:** The counter currently has weak fundamentals coupled with potential downside.

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